BHARTI AIRTEL LIMITED

NSE: BHARTIARTL | BSE: 532454 | ISIN: INE397D01024
Sector: Telecom - Services | Industry: Cellular & Fixed Line

FY2025-26 Annual & Q4 FY2026 Deep-Dive Research Report

CMP (₹)	52W High	52W Low	Mkt Cap	Sector Rank
₹ 1,827	₹ 2,175	₹ 1,747	₹ 11.13 L Cr	#1 Private Telecom

P/E (TTM)	P/B	EV/EBITDA	ROE	Div Yield
36.3x	8.84x	~11.0x	23.2%	0.88%

RATING	TARGET PRICE	UPSIDE	RISK
☑ BUY	₹ 2,250	23.2%	MEDIUM

BULL TARGET	BASE TARGET	BEAR TARGET	HORIZON
₹ 2,890	₹ 2,250	₹ 1,570	12–18 Months

Promoter%	FII%	DII%	Analyst Bias
48.87%	27.79%	20.53%	BULLISH

Sector Outlook: India telecom sector entering a high-ARPU, low-churn, 5G monetisation phase. Bharti Airtel is best positioned as the premium network operator with the highest ARPU (₹257), fastest-growing homes business (+37% YoY), and expanding data-centre footprint targeting 1 GW by FY30.

Report Date: May 2026 | Prepared by: R B Finance | Coverage Universe: Indian Telecom

SECTION 1 — EXECUTIVE SUMMARY

Bharti Airtel is India's #1 private telecom operator by ARPU and revenue. FY2026 was a landmark year: consolidated revenue crossed ₹2.10 lakh crore (+21.9% YoY), EBITDA margins expanded to ~57%, the company crossed 650 million customers globally, received RBI in-principle approval for its lending NBFC, and broke ground on a $15 billion Google AI data-centre hub (Nxtra by Airtel) in Vizag. The stock has corrected ~16% from its 52-week high, creating a compelling risk-reward entry for medium-to-long-term investors.

💡 Investment Thesis: Airtel is at the inflection point of ARPU-led margin expansion, 5G monetisation, and new business lines (cloud, NBFC, data centres). With regulated tariff increases expected in FY27 and ARPU headroom of 15% to its own ₹300 target, earnings CAGR of 20-25% is achievable over FY27-29.

Quick Rating Dashboard

Parameter	Rating
Fundamentals	**8.5 / 10**
Revenue Growth	**9.0 / 10**
Profitability	**7.5 / 10**
Valuation	**6.5 / 10**
Technical Strength	**5.5 / 10**
Management Quality	**9.0 / 10**
Risk Level	**Medium**

Key Investment Highlights

- ☑ Revenue CAGR of 21.9% in FY2026; 5-year revenue CAGR of ~15%
- ☑ India Mobile ARPU up to ₹257 (+4.9% YoY); ₹300 ARPU target only 16% away
- ☑ EBITDA margins at all-time high of ~57% on tariff hike pass-through
- ☑ Net debt reduced by ₹18,000 Cr QoQ to ₹1.65 lakh Cr — deleveraging on track
- ☑ Homes broadband: 13.1 million customers, revenue +37% YoY — fastest growing segment
- ☑ 5G users: 167 million; 5G slicing — India's 1st telco-grade product launched
- ☑ Data centre: 1 GW buildout target; Google $15 Bn AI hub partnership signed
- ⚠ Promoter stake declined 6.1% over 3 years to 48.87% — monitor
- ⚠ Net debt/EBITDA ~1.4x — high but manageable and improving

📊 Expected PAT CAGR FY26-FY29E: ~22-25% | Intrinsic Value (DCF Base): ₹2,200-₹2,300

SECTION 2 — COMPANY OVERVIEW

Business Model

Bharti Airtel Ltd, incorporated in 1995 and headquartered in New Delhi, is a global telecommunications giant operating in 18 countries across South Asia and Africa. Promoted by Sunil Bharti Mittal, the company offers mobile, broadband, DTH, enterprise, and data-centre services. Its India operations are the largest revenue contributor; Airtel Africa (listed on LSE) provides strategic geographic diversification.

The company's core competitive moat lies in its premium subscriber base, highest ARPU in the Indian market, and its disciplined refusal to chase low-quality subscribers. Airtel's co-founder strategy (investing in adjacent opportunities — NBFC, data centres, AI cloud) signals a platform-company evolution beyond pure telecom.

Revenue Segment Mix — FY2026

Segment	Rev Mix	Description	Competitive Position
India Mobile Services	**~65%**	Prepaid & Postpaid wireless, data	Leader — 37.32 Cr subscribers
Airtel Africa	**~19%**	Mobile & mobile money across 14 African nations	Growing — 650M+ total customers
Homes Services	**~6%**	FTTH broadband, DTH	Fastest growing — +37% YoY
Airtel Business (B2B)	**~7%**	Enterprise leased lines, cloud, IoT	Moderate, under restructuring
Digital TV (DTH)	**~2%**	Satellite TV	Stable / declining slightly
Infrastructure (Infratel)	**~5%**	Passive tower sharing via Indus Towers	Steady annuity income

Competitive Moat & Key Strengths

- 🏆 India's highest ARPU telecom operator (₹257 vs Jio ₹214, Vi ₹186) — premium brand positioning
- 🏆 Presence in 18 countries with 650+ million customers — global scale advantage
- 🏆 Infratel/Indus Towers stake (approx 35.8%) provides passive income and tower sharing
- 🏆 Strong enterprise (B2B) business with government and Fortune-500 clients
- 🏆 Nxtra Data — India's largest carrier-neutral data centre operator, 1 GW by FY30
- 🏆 Airtel Payments Bank — 500M+ customer reach; now NBFC approval from RBI

💡 Why Airtel can be a long-term winner: Unlike pure-play telcos, Airtel is methodically building a 'digital services stack' — connectivity + cloud + payments + NBFC + data centres. This positions it closer to Reliance Jio's platform model, but with a premium B2C and B2B franchise that commands superior pricing power.

SECTION 3 — FINANCIAL ANALYSIS (FY2022–FY2026)

Consolidated Income Statement — 5-Year Trend (₹ Crore)

Year	Revenue	EBITDA	EBITDA%	Net Profit	EPS (₹)	Interest	D&A
FY2022	**1,16,547**	**57,534**	49.4%	**8,305**	7.23	16,616	33,091
FY2023	**1,39,145**	**71,274**	51.2%	**12,287**	14.97	19,300	36,432
FY2024	**1,49,982**	**77,893**	51.9%	**8,558**	13.20	22,648	39,538
FY2025	**1,72,985**	**85,060**	49.2%*	**37,481****	58.85	21,754	45,570
FY2026	**2,10,973**	**1,19,675**	56.7%	**31,901**	~55.0	~21,452	~51,393

* FY2025 EBITDA% on screener annual basis includes provisions not captured quarterly. Company-reported quarterly margins averaged ~54%. ** FY2025 PAT boosted by ₹17,800 Cr deferred tax reversal. FY2026 PAT of ₹31,901 Cr on a normalised basis represents ~40% growth.

Returns, Leverage & Cash Flow (₹ Crore)

Year	ROCE	D/E	Op. CF	Free CF	Net Debt / EBITDA
FY2022	**11%**	2.0x	55,017	**28,996**	~2.7x
FY2023	**12%**	2.3x	65,325	**38,875**	~3.2x
FY2024	**13%**	2.0x	78,898	**38,970**	~2.8x
FY2025	**13%**	1.9x	98,332	**58,990**	~2.5x
FY2026E	**23.2%**	~1.8x	~1,05,000	**~65,000**	~1.4x

🔍 Key Financial Observations

- Revenue CAGR of 15% over FY2022–FY2026 driven by tariff hike (~25% in Jul 2024) and ARPU expansion from ₹200 to ₹257
- EBITDA margin expanded 720 bps to 56.7% in FY2026 due to operating leverage — each ₹ of incremental revenue drops ~65-70% to EBITDA
- Free Cash Flow grew from ₹28,996 Cr (FY2022) to ~₹65,000 Cr (FY2026E) — a 2.2x improvement in 4 years
- Net Debt reduced from ₹1.83 lakh Cr (Q3 FY26) to ₹1.65 lakh Cr (Q4 FY26) — ₹18,000 Cr in one quarter alone
- CFO/Operating Profit ratio = 121% in FY2025 — signals very high earnings quality, low working capital risk
- FY2025 PAT of ₹37,481 Cr is distorted by a one-time ₹17,800 Cr deferred tax credit; FY2026 normalised PAT growth ~40% YoY
- 🚨 Auditor Observation: No adverse remarks from BSR & Co. (KPMG affiliate) in FY2025 annual report. Clean audit opinion.

📊 Accounting Quality Score: HIGH — Strong CFO/Profit conversion, improving FCF, reducing debt. No aggressive revenue recognition or capitalization concerns noted.

SECTION 4 — QUARTERLY PERFORMANCE ANALYSIS

Quarter	Revenue (₹ Cr)	EBITDA (₹ Cr)	EBITDA%	PAT (₹ Cr)	EPS (₹)	ARPU (₹)	Growth	Key Highlight
Q1 FY26	**49,463**	**27,839**	56.3%	**7,422**	10.43	**₹250**	+16% YoY	Tariff hike full impact; homes +26%
Q2 FY26	**52,145**	**29,561**	56.7%	**8,651**	11.91	**+18% YoY**	+5.4% QoQ	Africa growth; postpaid +0.7M
Q3 FY26	**53,982**	**30,783**	57.0%	**8,503**	11.63	**₹259**	+3.5% QoQ	EBITDA margin all-time high; 5G users 167M
Q4 FY26	**55,383**	**31,492**	56.9%	**7,325***	~12.6	**₹257**	+15.7% YoY	₹24 dividend; net debt down ₹18K Cr

* Q4 FY26 PAT of ₹7,325 Cr declined 33.5% YoY due to ₹1,847 Cr in exceptional charges. PAT before exceptional items surged 37% YoY to ₹9,172 Cr vs ₹6,702 Cr in Q4 FY25.

FY2026 Full-Year Performance Summary

Metric	FY2026	YoY Change
Consolidated Revenue	**₹2,10,973 Cr**	**+21.9%**
EBITDA	**₹1,19,675 Cr**	**+40.7%**
EBITDA Margin	**56.7%**	**+750 bps**
Net Profit (Reported)	**₹31,901 Cr**	**-14.9% (base effect)**
PAT (Before Exceptional)	**~₹35,000 Cr**	**+~58% YoY**
India Mobile ARPU	**₹257**	**+ ₹12 YoY**
Mobile Subscribers (India)	**37.32 Cr**	**+2.5% YoY**
Net Debt	**₹1,65,000 Cr**	**↓ ₹48,000 Cr YoY**
Final Dividend	**₹24/share**	**New high**
Free Cash Flow (Est.)	**~₹65,000 Cr**	**+10.2% YoY**

Key Triggers from Q4 FY26 & FY2026 Results

- Homes business revenue grew 37.3% YoY — cross-sell potential into broadband + streaming is accelerating
- Net debt reduction of ₹18,000 Cr in a single quarter — strongest FCF conversion in company history
- Africa business showing strong growth post currency stabilisation — USD revenue base adds forex hedge
- 5G slicing service launched (first in India) for 29M postpaid users — premium tier creation for FY27 ARPU uplift
- Gopal Vittal commentary: 'We crossed 650M customers; telco-grade sovereign cloud and data lending business now live'

Management Guidance: ARPU target ₹300 (~16% upside from ₹257). Capex guidance ~₹39,000 Cr for FY27, with 5G and data-centre as primary allocation areas.

SECTION 5 — VALUATION ANALYSIS

Valuation Multiples — Historical vs Forward

Multiple	FY2025A	FY2026A	FY2027E	FY2028E
P/E (x)	72x (distorted)	**36.3x**	**~28x**	**~22x**
P/B (x)	~6.5x	**8.84x**	**~7.0x**	**~5.5x**
EV/EBITDA (x)	~14x	**~11.0x**	**~9.5x**	**~8.0x**
EV/Sales (x)	~5.5x	**~6.2x**	**~5.4x**	**~4.6x**
Dividend Yield	0.6%	**0.88%**	**~1.0%**	**~1.2%**
FCF Yield	~1.8%	**~4.2%**	**~5.5%**	**~6.8%**

Fair Value Scenario Analysis

Scenario	Target (₹)	Key Assumptions
Bear Case	**₹1,570**	ARPU stagnant at ₹255; no tariff hike; debt stays high; Africa headwinds
Base Case	**₹2,250**	ARPU ₹300 by FY28; one tariff hike in FY27; FCF-led deleveraging on track
Bull Case	**₹2,890**	ARPU ₹330+ by FY28; second tariff hike; data-centre / NBFC rerating
DCF Value	**~₹2,200-2,350**	WACC 10.5%, Terminal Growth 5%, 4-year FCFF model

DCF Summary — FY2027E to FY2030E (₹ Crore)

Metric	FY27E	FY28E	FY29E	FY30E
Revenue	2,42,619	2,71,734	2,98,907	**3,28,798**
EBITDA (57%)	1,38,293	1,54,888	1,70,377	**1,87,415**
EBIT (after D&A)	82,893	98,288	1,12,577	**1,28,615**
NOPAT (25% tax)	62,170	73,716	84,433	**96,461**
Capex	37,000	35,000	33,000	**32,000**
FCFF (NOPAT+D&A-Capex)	80,570	94,216	1,03,833	**1,15,854**
PV of FCFF	72,916	77,118	76,941	**77,687**

DCF Equity Value Derivation

Component	Value (₹ Crore)
Sum of PV of FCFs (FY27-FY30)	3,04,662
Terminal Value (g=5%, WACC=10.5%)	22,68,258
PV of Terminal Value	15,24,230
Enterprise Value	18,28,892
Less: Net Debt	1,65,000
Equity Value	16,63,892
Shares Outstanding (~600 Cr)	600 Cr
Intrinsic Value per Share	**~₹ 2,273**

Sensitivity Analysis — Intrinsic Value per Share (₹)

WACC \ Terminal g	4.0%	4.5%	5.0%	5.5%	6.0%	6.5%
9.5%	**2,698**	**2,885**	**3,116**	**3,411**	**3,804**	**4,357**
10.0%	**2,413**	**2,563**	**2,741**	**2,957**	**3,226**	**3,570**
10.5%	2,174	**2,298**	**2,441**	**2,610**	**2,814**	**3,066**
11.0%	1,972	2,076	2,194	**2,330**	**2,491**	**2,684**
11.5%	1,800	1,887	1,985	2,096	**2,225**	**2,376**
12.0%	**1,651**	**1,724**	1,806	1,900	2,007	2,132

At WACC 10.5% and terminal growth 5%, intrinsic value is ~₹2,273/share — 24% premium to CMP. Green cells indicate fair value above CMP; red cells below.

Valuation Verdict: Airtel appears MODERATELY UNDERVALUED at CMP ₹1,827 relative to DCF intrinsic value of ₹2,200-2,350. The market may be underestimating: (1) pace of ARPU migration to ₹300, (2) data-centre rerating potential, and (3) NBFC as a new high-ROE business line.

SECTION 6 — PEER COMPARISON

Company	Ticker	Price	Mkt Cap	Rev Growth	EBITDA%	ROE	ROCE	P/E	EV/EBITDA	ARPU	Rating
Bharti Airtel	BHARTIARTL	**₹1,827**	₹11.13L Cr	**~22%**	~57%	23.2%	13.5%	36.3x	~11x	**₹257**	**BUY**
Reliance Jio (unlisted)	—	—	—	**~18%**	~53%	~15%	~10%	—	~10x	₹213	—
Vodafone Idea	IDEA	₹8	₹59K Cr	**-15%**	~25%	Neg	Neg	Neg	Neg	₹186	AVOID
Indus Towers	INDUSTOWER	₹338	₹90K Cr	**~18%**	~55%	~20%	~16%	~12x	~7x	N/A	HOLD
BSNL (Govt)	—	Unlisted	—	**Neg**	~20%	Neg	Neg	—	—	N/A	—
Tele2 (Africa Peer)	—	SEK	—	**~8%**	~42%	~12%	~9%	~18x	~6x	—	—

Competitive Positioning Summary

- Airtel commands a 20%+ ARPU premium over Jio (₹257 vs ₹214) — driven by postpaid mix, premium data, and content bundling
- Vodafone Idea: financially distressed, negative equity; no meaningful threat to Airtel in the medium term
- BSNL's 4G/5G rollout is years behind; presents opportunity for Airtel to capture government enterprise and rural customers
- Indus Towers: Airtel holds ~35.8% stake, providing passive annuity income and tower access at competitive rates
- Africa operations differentiate Airtel from all domestic Indian telecom peers — natural hedge and growth optionality

Airtel is the BEST POSITIONED company in the Indian telecom sector — superior ARPU, expanding margins, diversified revenue, and proven management track record.

SECTION 7 — SHAREHOLDING PATTERN ANALYSIS

Quarter	Promoter	FII	DII	Public	Govt
Jun 2023	54.97%	**21.48%**	19.55%	3.82%	0.12%
Mar 2024	53.48%	**24.35%**	19.20%	2.80%	0.12%
Sep 2024	53.14%	**25.07%**	18.69%	2.89%	0.12%
Mar 2025	52.42%	**25.41%**	19.23%	2.75%	0.12%
Sep 2025	50.27%	**27.42%**	19.40%	2.72%	0.12%
Dec 2025	**48.87%**	**28.75%**	19.54%	2.65%	0.12%
Mar 2026	**48.87%**	**27.79%**	20.53%	2.63%	0.12%

Smart Money Signals

- FIIs have consistently accumulated Airtel shares — FII holding rose from 21.48% (Jun 2023) to a peak of 28.75% (Dec 2025), a 730 bps increase in 2.5 years — strong institutional conviction
- DIIs (domestic institutions) raised holding from 18.69% (Sep 2024) to 20.53% (Mar 2026) — domestic MFs and insurance companies adding on dips
- Promoter stake declined from 67.1% (FY2017) to 48.87% (Mar 2026) — largely driven by QIP dilutions to fund spectrum and capex. Still above 48.87% governance threshold; no pledging concern
- Number of shareholders rose from ~6.94 lakh (Mar 2024) to ~9.01 lakh (Mar 2026) — retail participation widening
- Top mutual fund holders include SBI MF, HDFC MF, Nippon MF, Mirae Asset — all long-only blue-chip funds

🔍 Smart Money Interpretation: FII steady accumulation + DII buying on recent dip = institutional confidence intact. No signs of smart money exit despite stock being 16% below 52W high. Contrarian BUY signal.

SECTION 8 — TECHNICAL ANALYSIS

Technical Parameter	Level / Status
Current Market Price	₹ 1,827
52-Week High	₹ 2,175 (Sep 2025)
52-Week Low	₹ 1,747 (Apr 2026)
Primary Trend	Bearish (below 200 DMA)
Secondary Trend	Possible base formation near 52W low
20-Day DMA	~₹ 1,870 (resistance)
50-Day DMA	~₹ 1,950 (resistance)
200-Day DMA	~₹ 1,980 (key resistance)
RSI (14-day)	~44 — below 50, mildly oversold
MACD	Bearish crossover; negative divergence
Key Support S1	₹ 1,800 — psychological + prior consolidation
Key Support S2	₹ 1,747 — 52-Week Low (must hold)
Key Support S3	₹ 1,650 — worst case support
Key Resistance R1	₹ 1,900 — 20 DMA cluster
Key Resistance R2	₹ 1,950-1,980 — 50/200 DMA zone
Key Resistance R3	₹ 2,100 — prior breakdown level
Fibonacci 61.8% Retracement	₹ 2,025 (from 52W low to high)
Volume Trend	Below-average — distribution phase
Relative Strength vs Nifty	Underperforming (−16% vs Nifty 1-year)

📈 Trading Setups

Setup	Entry Zone	Target	Stop Loss
Swing Trade	**₹1,800-1,830**	**₹1,950-2,000**	**₹1,750**
Positional Trade	**₹1,780-1,850**	**₹2,100-2,200**	**₹1,700**
Long-Term Accumulation	**₹1,700-1,850**	**₹2,500-2,700**	**₹1,580**
Breakout Play	**Above ₹1,980**	**₹2,100-2,175**	**₹1,900**

📈 High-Probability Technical Setup: Airtel is forming a base between ₹1,747-1,850. RSI divergence + FII accumulation at lows = potential reversal setup. A close above ₹1,980 (200 DMA) would confirm resumption of uptrend. Risk-reward for 12-month horizon is 1:3 at CMP.

SECTION 9 — RISK ANALYSIS

Risk Category	Risk Factor	Impact	Prob.	Mitigation / Analyst View
Regulatory / TRAI	TRAI tariff rollback or cap on pricing	**HIGH**	**LOW**	Tariff hike is long-term structural; TRAI track record supports Airtel
Competition	Jio pricing aggression; BSNL revival	**HIGH**	**MEDIUM**	BSNL still nascent; Jio ARPU gap widening in Airtel's favour
Debt / Leverage	Net Debt ₹1.65L Cr; interest ~₹21K Cr/yr	**HIGH**	**LOW**	FCF of ₹65K Cr provides 3x cover; reducing QoQ
Africa Exposure	Currency devaluation, political risk	**MEDIUM**	**MEDIUM**	14 countries; USD revenue hedges INR; management experienced
Technology	6G / satellite connectivity disruption	**LOW**	**LOW**	5G just beginning; 6G is 7-10 years away
Capital Allocation	NBFC, data-centre capex diluting FCF	**MEDIUM**	**MEDIUM**	New businesses have long payback; disciplined capex needed
Promoter Dilution	Stake at 48.87%; further dilution risk	**MEDIUM**	**LOW**	Strong promoter commitment; stake decline slowing
Macro / FII Outflow	Global risk-off; USD strengthening	**MEDIUM**	**MEDIUM**	Short-term; Airtel quality makes it first to recover
DoT Penalties	Small regulatory penalties (₹7-21 lakh)	**LOW**	**HIGH**	Immaterial to financials; procedural in nature
Spectrum Pricing	Next spectrum auction cost overshoot	**MEDIUM**	**LOW**	5G spectrum already acquired; next auction FY28+

⚠ Key Negative Triggers Ignored by Market: (1) Any TRAI order rolling back the Jul 2024 tariff hike — would compress ARPU by ₹20-30 and cause ~15-20% PAT miss. (2) Africa business FX headwinds from Naira/Franc devaluation — adds quarterly PAT volatility. (3) NBFC capital deployment diluting FCF — Jefferies has already cut target on this concern.

SECTION 10 — FUTURE GROWTH TRIGGERS

☑ High-Conviction Growth Drivers

- ☑ ARPU Journey to ₹300: Current ARPU ₹257 has ~16% upside to stated management target of ₹300. Every ₹10 increase in India ARPU adds ~₹700 Cr to quarterly revenue. Next tariff hike expected in H2 FY27. This alone could drive 8-10% revenue growth without adding a single subscriber.
- ☑ 5G Monetisation & Slicing: Airtel launched India's first 5G slicing service for 29M postpaid users. Premium 5G tiers (higher speed, lower latency) can command 20-30% pricing premium over 4G plans — a structural ARPU driver in FY27-28.
- ☑ Homes Broadband Expansion: 13.1 million subscribers growing at 37% YoY. India's fibre broadband penetration is <10% vs 60%+ in China. Target: 25 million homes by FY29. High-margin, low-churn business with multiple cross-sell opportunities.
- ☑ Data Centres (Nxtra by Airtel): 1 GW data-centre capacity target by FY30. Google's $15 billion Vizag AI hub (co-developed with Nxtra + AdaniConneX) confirms hyperscaler demand. Data-centre business could be valued at 15-20x EV/EBITDA — a potential rerating catalyst.
- ☑ NBFC / Lending Business: RBI in-principle approval received. With 500M+ Airtel Payments Bank customers and telecom billing data, credit underwriting capability is unique. ₹20,000 Cr NBFC capital deployment plan over 3 years.
- ☑ Africa Growth Recovery: Africa EBITDA margin expanding as currency headwinds abate. Mobile money in Africa (Airtel Money) is growing rapidly — analog to M-Pesa's success in Kenya.
- ☑ B2B / Enterprise (Airtel Business): 5G enterprise, IoT, private network solutions, SD-WAN — all under-monetised and growing. Government digital infrastructure spend is a tailwind.
- ☑ Free Cash Flow Compounding: FCF growing from ₹29K Cr (FY22) to ~₹65K Cr (FY26E) to potentially ₹1L Cr+ by FY29E. This creates significant optionality for buybacks, increased dividends, or debt reduction.

☑ Potential Future Rerating Triggers: (1) Tariff hike announcement (2) Data-centre IPO/spin-off (3) Africa listing or partial stake sale (4) Promoter stake stabilisation (5) ARPU hitting ₹275+ organically within 2 quarters

SECTION 11 — MULTIBAGGER PROBABILITY ANALYSIS

Parameter	Assessment	Probability
2x Return (₹3,650) in 5 Years	High FCF CAGR + ARPU expansion + new biz rerating	**MEDIUM-HIGH (~55%)**
3x Return (₹5,500) in 7 Years	Data-centre spin-off + NBFC re-rating + tariff hikes	**MEDIUM (~35%)**
Earnings CAGR 20-25% (FY26-FY29)	Driven by ARPU + margin expansion + Africa recovery	**HIGH (~70%)**
Probability of Major Correction (>30%)	Would need: TRAI rollback + Africa crisis + debt shock	**LOW (~15%)**
Chances of Earnings Rerating	Multiple new businesses qualifying for higher PE	**MEDIUM-HIGH (~60%)**
Scalability Score	India TAM massive; Africa underpenetrated	**9 / 10**

⚠ Hidden Risks Ignored by Market Participants: (1) NBFC capital deployment ₹20,000 Cr could suppress FCF for 2-3 years more than consensus expects. (2) Promoter stake is now at 48.87% — further dilution to fund data-centre capex would dilute EPS. (3) 5G spectrum EMIs kicking in fully from FY27 will increase cash outflow by ~₹8,000-10,000 Cr.

SECTION 12 — INVESTMENT THESIS & FINAL VERDICT

Long-Term View (3–5 Years)

Airtel is transitioning from a capital-intensive telco to a high-FCF digital platform. The core India mobile business is past peak capex; deleveraging is accelerating. New businesses — data centres, NBFC, enterprise cloud — are in early monetisation. ARPU growth from ₹257 to ₹300+ is a near-certainty given oligopolistic market structure (effectively a 2-player market). Expected 3-year PAT CAGR of 22-25%. Ideal accumulation zone: ₹1,750-1,900. 3-year total return potential: 50-70% (base case).

Short-Term View (1–6 Months)

Stock is in a technical correction phase — below all DMAs, RSI sub-50. Near-term catalyst needed: tariff hike announcement or ARPU beat in Q1 FY27 results (due Aug 2026). Buy the dip in ₹1,800-1,850 zone with a 6-month target of ₹2,000-2,100. Hard stop-loss below ₹1,700.

ANALYST FINAL RECOMMENDATION

☑ B U Y

CMP: ₹1,827 | Target: ₹2,250 | Upside: 23.2% | Horizon: 12-18 Months

Bull Case: ₹2,890 | Base Case: ₹2,250 | Bear Case: ₹1,570 | Stop-Loss: ₹1,650

Risk-Reward Ratio: 1:3 | Risk Level: MEDIUM | Expected CAGR: 20-25%

Prepared by: R B Finance | May 2026

Portfolio Suitability Matrix

Investor Type	Suitable?	Rationale
Value Investing	☑ YES	Trading at ~18% discount to DCF intrinsic value
Growth Investing	☑ YES	20-25% PAT CAGR expected FY26-FY29E
Income Investing	⚠ PARTIAL	Dividend yield 0.88% — improving but below 2% for pure income seekers
Swing Trading	⚠ CAUTION	Below 200 DMA; wait for ₹1,980 breakout confirmation
Positional Trading	☑ YES	Accumulate at ₹1,780-1,850 with 6-9 month horizon
Long-Term Compounding	☑ STRONG YES	10-year track record of 19% stock CAGR; new growth engines live

SECTION 13 — FINAL SUMMARY

KEY POSITIVES ✅

- **Revenue CAGR of 22% in FY2026; consistent 15%+ growth for 5 years**
- **EBITDA margins at record 57% — operating leverage working in Airtel's favour**
- **ARPU industry-best ₹257 with clear ₹300 target — 16% revenue upside without adding subscribers**
- **Net debt declining: ₹1.65L Cr with FCF of ~₹65K Cr = deleveraging on track**
- **Strong institutional confidence: FIIs at 27.79%, DIIs at 20.53% — smart money accumulating**
- **New businesses (data centres, NBFC, 5G slicing) create multiple earnings rerating catalysts**
- **₹24/share final dividend announced — commitment to shareholder returns**
- **Google $15B AI hub partnership — Nxtra emerges as hyperscaler data-centre partner of choice**

KEY NEGATIVES ❌

- **Promoter stake at 48.87% — declined 18 percentage points over 9 years; further dilution a risk**
- **Net debt still ₹1.65 lakh Cr — interest burden ~₹21,452 Cr/year**
- **Stock technically weak — below all key moving averages; relative underperformance vs Nifty (-16%)**
- **Valuation premium (P/E 36x) leaves little room for quarterly earnings misses**
- **NBFC capital commitment of ₹20,000 Cr may suppress near-term FCF**
- **Africa operations exposed to currency devaluation risk — Naira and Franc volatility**

IMPORTANT MONITORABLE FACTORS 🔍

- Q1 FY27 ARPU: Must stay above ₹255 and ideally see sequential improvement to ₹262+
- Next tariff hike announcement: When, by how much — key catalyst for stock re-rating
- Net Debt trajectory: Should reach below ₹1.50 lakh Cr by Q3 FY27
- Promoter stake: Any further dilution below 48% would be a governance concern
- NBFC deployment pace and NPA quality — first 2-3 quarters of lending data critical
- Africa USD revenue trend — needs recovery to pre-FY24 levels for full rerating
- Indus Towers (35.8% stake) — any stake sale decision

FINAL INVESTMENT CONCLUSION 💡

Bharti Airtel remains India's premier telecom franchise and is at an inflection point in its value-creation journey. FY2026 was transformational — record revenues, record EBITDA margins, accelerating FCF, a new lending business, and a landmark data-centre partnership. The stock's 16% correction from 52-week highs is a technical consolidation, not a fundamental deterioration. With ARPU 16% below management's own ₹300 target, 5G monetisation just beginning, and 4 new revenue streams in early monetisation, the earnings outlook for FY27-29 is compelling. At CMP ₹1,827, the risk-reward is asymmetric in favour of buyers with a 12-18 month horizon. R B Finance reiterates a BUY with a base-case target of ₹2,250.

Probability of Success Matrix

Scenario	Target	Probability
Bull Case (ARPU ₹300+ + data-centre rerating)	**₹2,890**	**25%**
Base Case (ARPU ₹285 + one tariff hike)	**₹2,250**	**55%**
Bear Case (ARPU stagnant + debt concerns)	**₹1,570**	**20%**